The Art of Confluence Trading

What is Confluence Trading?

- Confluence trading is the combination of multiple methods to increase the chances of profitability of catching the markets as it makes its move, so you can take a position.

Confirmation tools within Confluence

- **When it comes down to finding a position within the markets, things must be methodical, and you should have a set of confirmations, such as:**
- Fibonacci Sequence *PRZ Levels*
- Supply and Demand
- Support and Resistance Levels
- Break/Retest
- Understanding Timeframe Correlation
- Understanding Wicks

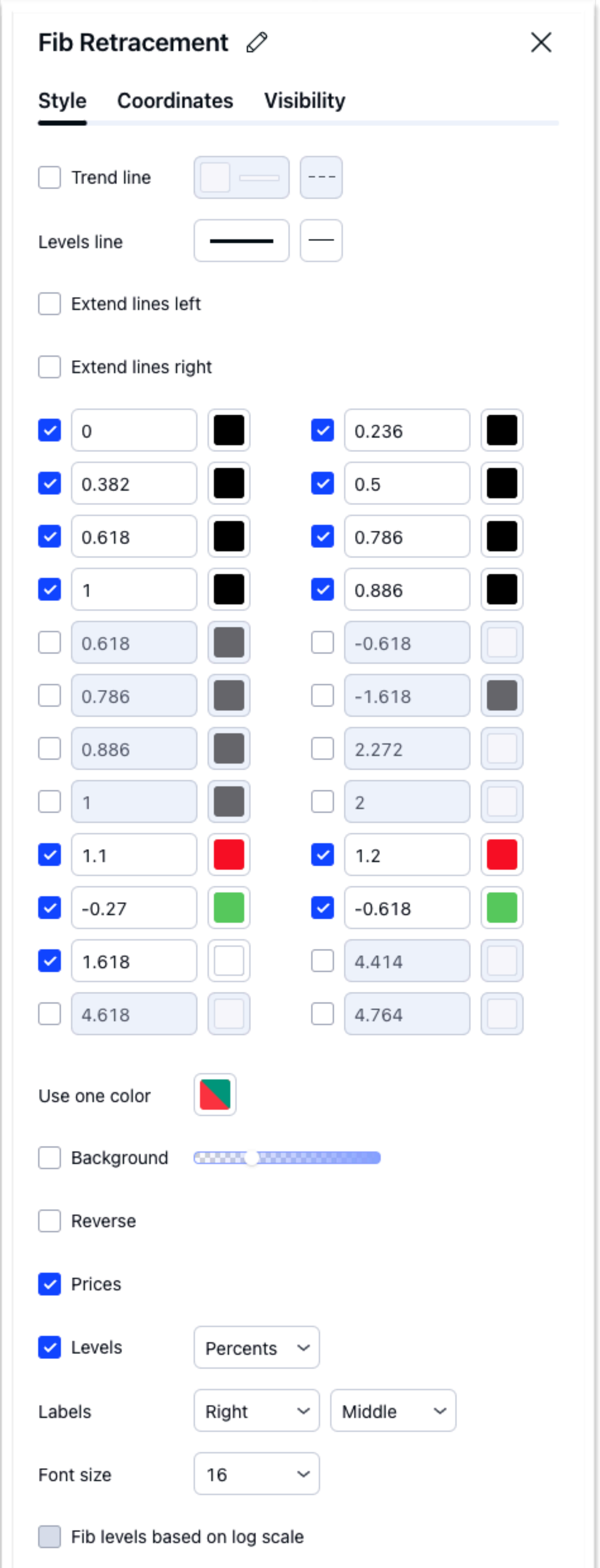
Understanding Wicks

- Wicks are your best friend! They tell you a story. Learn to understand wicks
- Without wicks you cannot identify S/R, S/D, Retests, or even full breaks of structure
- When applying Trend Lines it must be from Point A to Point B (2 Wicks)
- When applying Fibs it must be from a High to a Low or Low to a High Once again Wick to Wick

Fibonacci Sequence

- Another word for Fibonacci that I use is Price Reversal Zones, mainly because every level of Fibs offers some sort of drama, wether both support and resistance and or Consolidation/change of trend, Retracement.
- Fibonacci Retracement tool shows levels that the market will hit after a big move, as far as uptrend and or downtrend
  - The move bust be 1 solid move and not within a consolidated market
  - When applying Fibonacci for a Uptrend you would apply Relative Low to Relative High. For a downtrend is is High to Low
  - **Major Retracement Points:**
    - <u>38.2</u> - If a market is rejected at this area it normal will give a Dramatic Spike or aggressive move (very volatile)
    - <u>61.8</u> - From the "Golden Ratio of Fibs this retrace is usually good from this area but moves a bit more slow.
    - <u>78.6</u> - Area of Reversal/ Slow movement
    - <u>88.6</u> - Area of Reversal/Slow Movement
    - **Make sure you are actually pin pointing the highs and lows of market so you can correctly place correct Fib

Fibonacci Retracement Settings



Supply and Demand

- **When looking for Supply and Demand we are actually looking for reversal zones within the market**
  - Support and Resistance is where we see failed attempts for price to move beyond, while S/D is finding areas of markets where reversals happened in prior sessions.
  - Supply is on other side of resistance demand is near the bottom
  - Look for break outs and it allows you to see where area's of "price" has not touched in a while allowing another breakout move.
- <u>If you are an intraday trader always aim to draw on H4 or H1/H2</u>
  - Markets usually allows rejects 1st time it hits one of the zones
  - Depending on higher timeframe , could be a longer move so patience is warranted
  - The more times these area’s touch, the weaker it gets, more likely it will get rejected.

Support and Resistance Levels

- Support means the market finds a specific floor that it tries to respect. Very important to know when looking to find structure within the market.
- Resistance is a "ceiling" for when the market finds a high it wants to test.

- Area's to find easier levels of Support and or resistance would be HH,HL,LL,LH areas.

- Main chart to mark up S/R lines would be Dependant upon Strategy *Scalp, Intraday, Swing. Main charts would be Daily all the way down to H1.
  - Many times what we see on the H1 timeframe, we can see that from H4/H2 *No need to do H1 at that point*
  - If analysis is good you can sometimes leave markup for a few weeks based upon chart structure
  - Make sure when marking area's, make sure price is relevant and do not mark up price from months ago.

Break and Retest

- Break and retest is one of the surest ways to make sure you enter in profit and stay in profit
    - Break means it has broken a resistance level/support level/area of price and managed to retest that area, not being able to break and reject.
    - If we do not get a break of a price level then the bias to go against it will lead to a bad trade
    - If we do not break and retest we do not get into the trade, I would rather trade a winner then a possible winner.
    - A Break and retest on one time frame will be another confirmation on a different time frame *30M retest/H1 Engulfing* for example
    - A Break/retest is more candlestick wick then body

Timeframe Correlation

- Understanding Timeframe Correlation is the art of knowing what each timeframe is doing
- If smaller timeframes show bearish movement but h4 and above show bullish, the higher timeframe bias still stands.
- If I see a bullish retest on the 15M but all the higher timeframes show bearish candles, my bias remains bearish.
- You have to understand the area's of S/R or S/D on higher Tfs just as much as you do on smaller
- If you only focus on 5,15,30, You WILL not be a profitable trader long term.
- Know which timeframe is best to put confirmations on (fibs, s/d , s/r)

10 Rules of Trading

1. Never Let a winner turf into a Loser (Never marry a Trade)
2. Logic Always Wins, Impulse Kills.
3. Never risk more then 5% per trade
4. Trigger Fundamentally…Enter/Exit Technically
5. Always Pair strong with Weak!
6. Being right and being early usually means that you are wrong!
7. Know the difference between scaling in and adding to a loss!
8. Mathematically Optimal, Psychologically Impossible (This game is 80% Mindset/20% technical
9. Risk can be predetermined. Reward is unpredictable (See #3 and #4)
10. No Excuses….EVER